

CHAPTER TWO

Human Resource Management Environments

2. Introduction

What is environment? In simple words it is **the "totality of all factors which influence both the organization and human resources sub-system"**. Environment comprises all those forces which have their bearing on the functioning of various activities including human resource activities.

Environment is an important variable in the HRM model. It may be understood as all those forces, which have their bearing on the functioning of the HR department. It is desirable to know what the environment is and how it influences HR functions in an organization.

Environmental scanning is important to HR managers to become proactive and not reactive to the environment which is characterized by change and intense competition.

HRM processes in an organization do not operate in a vacuum. They are influenced by and influence the external environment (outside the organization) and internal environment (inside the organization).

2.1. The External Environment

The external (macro-environmental) factors separately or in combination can influence the HR function of any organization. The job of a HR manager is to balance the demands and expectations of the external groups with the internal requirements and achieve the assigned goals in an efficient and effective manner. They must identify, evaluate, and react to the forces outside the enterprise that may affect its operations.

External environmental influences such as government laws and regulations, demographic, economic conditions, technological, social condition, and the labor market condition have a significant impact on HRM processes.

2.1.1. Government Law and Regulations

A powerful external environmental influence is government law and regulations, which affect organizations directly. Federal regulations influence HRM activities, policies, and programs. When an organization makes decisions about minimum wage, working time, managing diversity, employee safety and health, downsizing, and discipline, it must weigh the impact of government regulations.

The government regulates and influences some aspects of HRM more directly than others. Major areas of legislation and regulation include:

- Equal employment opportunity and human rights legislation, which directly affect recruiting, selection, evaluation, and promotion, and indirectly affect employment planning, orientation, career planning, training, and development.
- Discrimination based on sex, age, and disability.
- Compensation regulation, which affects pay, hours of work, unemployment, and similar conditions.
- Benefits regulation, which affects pensions and retirement.
- Workers' compensation and safety laws, which affect health and safety.
- Labor relations laws and regulations, which affect the conduct of collective bargaining.
- Privacy laws.

Therefore, laws and regulations have a direct effect in the management of HR. Legal issues affect almost all aspects of HRM, from the initial recruitment and selection of applicants to their discharge, retirement or lay off. In other words, there are almost no HR decisions that remain unaffected by government rules and regulations.

2.1.2. Economic Condition

Economic environment is of great concern to company everywhere. Economic environment refers to all those **economic forces, which have a bearing on the HR function**. The components of the economic environment are:-

- Growth strategy, Industrial production (**productivity**)

- Population, National and per capita income,
- Money and capital markets,
- Suppliers, Competitors, Customers and Industrial labor.

2.1.3. Geographic location of the organization (Geographical Environment)

The location of the organization influences the kinds of people it hires and the HRM **activities it conducts**. A hospital, plant, university, or government bureau located in a **rural area** confronts different conditions than one located in an urban area.

The geographical environment determines the labor market and the employment options provided by a given region. Thus a region with high unemployment requires different human resource strategies than one with a limited supply of workers.

2.1.4. Technological changes

Technological change alters jobs, creates new skills, makes occupations obsolete and revises what employees need to learn and to be trained to do. Sometimes new technologies require new job designs.

For example, work teams whose members share responsibility for tasks may be more appropriate than individual workers with separate responsibilities. As far as employees are concerned the technological environment determines the desired competences and skills while for employers it identifies software-related requirements for maintaining connections with labor relation and taxation authorities.

2.1.5. Labor market conditions

The labor market also directly affects HRM programs. Exchanges between employers and potential employees occur in the labor market. Information is exchanged about opportunities, skills and requirements.

Like: - When there are more workers than jobs, employers find recruiting costs minimal. The demographic environment indicates the size and composition of the section of the population capable of productive work.

2.1.6. Cultural Forces

Culture refers to the complex whole which includes knowledge, belief, art, morals, laws, customs and other capabilities and habits acquired by an individual as a member of a society.

How does culture influence the HR function?

A. Culture creates the type of people who become members of an organization. Culture trains people along particular lines, tending to put a personality stamp upon them. It is not that all people are alike in a particular culture.

B. If the culture of the society promotes work, then tasks will be performed with interest, dedication and pride.

C. Work ethics, achievement needs and effort-reward expectations, which are significant inputs determining individual behavior are the results of culture.

The social environment determines employment-related customs, traditions, and motivations. i.e. certain people choose an occupation based on traditions, and even generations can be employed at the same company.

2.2. Internal Environmental Influences

The internal environment also affects the job of a HR manager. The functional areas, structural changes, specific cultural issues peculiar to a unit, HR systems, corporate policies and a lot of other factors influence the way the HR function is carried out.

The HR manager has to work closely with these constituent parts, understand the internal dynamics properly and devise ways and means to survive and progress. In addition to these, the personnel have to grapple with the problem of workforce diversity.

Some of the internal factors include labor union, goals and policies of the organization, organizational style, and nature of the task, work group, leadership style and experience.

2.2.1. Labor unions

A trade union (labor union) may be understood as an association of workers formed to protect their own individual interests.

The presence of a union directly affects most aspects of HR activities. Because most of the HR activities like recruitment, selection, training, compensation and separation – **are carried out in consultation with union leaders.** The role of unions becomes **pronounced when a new wage agreement** needs to be signed.

2.2.2. Organizational Goals

The goals of organizations differ within and between departments. All departments probably have goals that include employee satisfaction, survival, and adaptability to change. The differences arise in the importance the decision makers place on the different goals.

For Example: -if some organizations, HRM-related goals are highly regarded by decision makers. Thus, how much the HRM function is valued and how it is implemented is affected by these goals.

2.2.3. Organizational style

Some organizations for example, are likely to prefer more formalized HRM policies, direct controls on employees; more direct job-related training, compensation policies tied to actual performance, and so on.

It seems reasonable to hypothesize that truly bureaucratic and truly participative organizations would have different HRM policies. In these ways, the organization's style influences the HRM program.

2.2.4. Nature of The Task

Many experts believe that the task to be performed is one of the most vital factors affecting HRM. They describe HRM as the effective matching of the nature of the task with the nature of the employee performing the task.

2.2.5. Work Group

Groups play a major role in the life of an individual. Once a person joins an organization, his or her experiences are largely influenced by a work group. If the work group is effective and works with management, the manager's job is easier, and objectives are more likely to be achieved. On the other hand, if the group is working against the manager, an effort must be made to change the group's norms and behavior by the use of the manager's leadership, discipline, and reward powers, or by the transfer of some group members.

Therefore, work groups are directly related to the success of HRM activities. Examples of HRM activities in this regard are incentive compensation, profit sharing, and safety and labor relations.

2.2.6. Leadership style and experience

The experience and leadership style of the operating manager/leader directly affects HRM activities because many HRM programs must be implemented at the work unit level. Thus, the operating manager–leader is a crucial link in the HRM function.

Leaders must demonstrate distinctive skills, experiences, personalities and motives of individuals. They must also facilitate the intergroup interactions that occur within work groups. In his/her role a leader provides direction, encouragement, and authority to evoke desired employee behavior. In addition, leaders reinforce desirable behavior so that it is sustained and enhanced.

The leader is an important source of knowledge about the tasks, the organization, the HRM policies, programs and goals. The experience and operating style of a leader will influence which HRM program are communicated, implemented and effective.